



CA INTER MAY/SEP 2026

ONE SHOT

INCOME TAX

SALARY



CA WALLAH

CHAPTER 3A: INCOME UNDER HEAD SALARIES

IMPORTANT CONCEPTS RELATING TO SALARIES

- (1) Employer-employee relationship
- (2) Full-time or part-time employment: It does not matter.
- (3) Foregoing of salary: chargeable to tax.
- (4) Surrender of salary: Salary is surrendered to CG under voluntary surrender of salaries act is exempt.
- (5) Salary paid tax-free: If the employer pays the tax, it is treated as part of the employee's salary income.
- (6) Place of accrual of salary: salary earned in India is deemed to accrue or arise in India

BASIS OF CHARGE (SECTION 15)

- (i) Section 15 deals with the basis of charge. Salary is chargeable to tax either on 'due' basis or on 'receipt' basis, whichever is earlier i.e. Advance salary is taxable at the time of receipt.
- (ii) Arrears Of Salary is chargeable to tax in the year of receipt.

ALLOWANCES

1. Fully Taxable Allowances

Servant Allowance	Fixed Medical Allowance	Meal Allowance
Dearness allowance	City Compensatory Allowance	Overseas allowance
Entertainment allowance	Telephone Allowance	Overtime allowance
Rural allowance	Project allowance (personal research)	High Cost of living Allowance

2. Official Allowances

For The Following Allowances, amount received or actually spent by Employee, whichever is lower shall be exempt from tax under Old Regime.

Official Allowances - (RA-HUT-DTC)

Transfer Allowance	Helper Allowance
Daily Allowance	Conveyance Allowance
Academic Allowance	Research & Development Allowance (R & D)
Uniform Allowance	Travelling Allowance

Note: Under Default Regime exemption is allowed only for Travelling Allowance/Daily Allowance/ Conveyance Allowance. Other official allowances are fully taxable.

3. Allowances For Personal Nature

Following Exemption is allowed only under old regime (under default regime no exemption is allowed for personal nature allowances)

- A. Children Education Allowance: exempt upto ₹100 p.m. per child upto two child.
- B. Hostel Allowance: exempt upto ₹300 p.m. per child upto two children.
- C. Transport Allowance: Fully Taxable. However, if granted to an employee, who is blind or orthopedically handicapped with disability of lower extremities is exempt upto ₹3,200 p.m.
- D. Outstation Allowance: Granted to an employee working in any transport system to meet his personal expenditure. It is exempt to the extent of least of the following:
 - (i) 70% of the allowance received
 - (ii) ₹10,000 p.m.



E. Underground Allowance: Allowance to the employees who are working in the mines. It is exempt upto ₹800 p.m.

F. Tribal Area Allowance: exempt upto ₹200 p.m

4. House Rent Allowance

- Exemption is allowed only under **old regime**
- HRA is exempt to the **extent** of the **least** of the following:
 - (i) HRA received
 - (ii) (Rent Paid – 10% of Retirement Benefit Salary (RBS))
 - (iii) **50% of RBS** in case of Mumbai, Kolkata, Chennai or Delhi.

Or

40% of RBS in case of any other place.

Meaning of Salary for HRA (also known as Retirement Benefit salary)
Basic Salary + DA (RB) + Commission (% of TO)

Note: If There Is Change In HRA, Salary, Rent Paid and Location of Accommodation, then Exemption shall be computed **separately** for each such Change.

DEDUCTION U/S 16

A. Standard Deduction - Allowed under Both Regimes
OTR – 50,000; NTR – 75,000

B. Entertainment Allowance - Allowed only under Old Regime
Deduction shall be allowed only in case of **government** employees to the extent of the **least** of the following:

- (i) 20% of basic salary
- (ii) ₹ 5,000
- (iii) The actual allowance received by the employee

C. Professional Tax - Allowed only under Old Regime

- Deduction is allowed on **Paid Basis**.
- Paid By EE – Deduction is allowed.
- Paid By ER - **First included in gross salary and subsequently deduction is allowed**

RETIREMENT BENEFITS

1. Gratuity

- Gratuity Received During Employment Is **Fully Taxable**
- Gratuity Received at the time of retirement is to be treated as follows:

Employee	Exempt [Allowed under Both Regime]
Government	Fully Exempt
Other EE covered under POGA	Least Of Following is Exempt: a) ₹ 20 Lakh b) Gratuity Received c) $15/26 \times \text{Last Drawn Salary} \times \text{CY}$ Note: 1. CY = Completed year or part thereof in excess of 6m 2. Last Drawn Salary = Basic + DA
Other EE Not covered under POGA	Least Of Following is Exempt: a) ₹ 20 Lakh b) Gratuity Received c) $1/2 \times \text{Avg Salary} \times \text{CY}$ Note: 1. CY = Completed year 2. Salary = Basic + DA(RB) + Comm(%) 3. Avg Salary = 10m Avg Salary Immediately Preceding "month" of Retirement

Note: The ₹20 lakh gratuity exemption limit is reduced by any gratuity amount already exempted earlier.



2. Pension

- a) Uncommuted Pension (Monthly) – Fully Taxable
 b) Commuted Pension (Lump-sum)

Received By	Exempt [Allowed under Both Regime]
Govt. EE	Fully Exempt
Non Govt. EE	Gratuity Received : 1/3 of Total Pension Is Exempt Gratuity Not Received : 1/2 of Total Pension Is Exempt

Total Pension = [Commuted Pension ÷ Commutation Portion]

3. Leave Encashment (Exempt)- [Allowed under Both Regime]

- a) Leave Encashed During Employment Is **Full Taxable**.
 b) Leave encashment received at the time of retirement
 To Govt EE - **FULLY EXEMPT**.
 For Other EE - lower of following shall be exempt:
 a) Leave Encashment **Received**.
 b) ₹ 25,00,000
 c) 10m x Average Salary
 d) Leave @ credit (in months) x Average Salary

Note:

- (i) Leave @ Credit (In Months)

Leaves Available For Completed Year (Max= 30 leaves per Year)	xx
(-) Leaves Availed During Employment	xx
(-) Leaves Encashed During Employment	xx
Leaves @ credit (in days)	xx
	÷ 30 days
Leaves @ credit (in months)	xx

- (ii) Salary = Basic + DA(RB) + Commission (% of TO)
 (iii) Avg Salary= 10m Avg Salary Immediately Preceding “Day” of Retirement.
 (iv) The ₹25 lakh leave encashment exemption limit is reduced by

any amount already exempted earlier.

c) Retrenchment Compensation - [Allowed under Both Regime]

Least of the following is exempt:

- a) Compensation actually received
 b) ₹ 5,00,000
 c) 15/26 x Average Pay x Completed years of service and part thereof in **excess of 6 months**.

d) Voluntary Retirement Compensation - [Allowed under Both Regime]

Least of the following is exempt:

- (i) Compensation received
 (ii) ₹ 5,00,000
 (iii) 3 months' salary x **completed** years of service
 (iv) Last drawn salary x **remaining** months of services left.

Meaning of Salary → Retirement Benefit Salary

e) Provident Fund - [Allowed under Both Regime]

Particulars	SPF	RPF	URPF	PPF
ER Contribution	EXEMPT	Exempt Up to 12% of RBS	Taxable at the time of withdrawal	Not Applicable
EE Contribution	Deduction u/s 80C	Deduction u/s 80C	No Deduction allowed u/s 80C	Deduction u/s 80C
Interest Credited	EXEMPT See Note 3	Exempt Up to 9.5% See Note 3	Taxable at the time of withdrawal	EXEMPT
Withdrawal	EXEMPT	EXEMPT See Note 1	See Note 2	EXEMPT



Note

1. Exempt if any one condition is met:
 - a. 5 years continuous service
 - b. Early retirement due to ill health, business closure/contraction, or reasons beyond employee's control
 - c. RPF balance transferred to new employer or NPS (Sec 80CCD)

2. Withdrawal from **URPF** shall be treated as follows:

ER Contribution	EE Contribution	Int On EE Cont.	Int On ER Cont.
Taxable u/h salary	Exempt	Taxable under OS	Taxable u/h Salary

3. Int on EE's **Contribution** towards **SPF/RPF**
 - a) Exemption shall not available for interest accrued during the PY to the extent it relates to the contribution made by EE exceeding ₹ 2,50,000 in any PY on or after 1/4/2021.
 - b) However, if ER do not contribute in that fund, then exemption in respect of interest is allowed up to ₹ 5,00,000 instead of ₹ 2,50,000.

TAXABILITY OF PERQUISITES

1. Rent Free or Concessional accommodation Section 17(2) Rule 3(1)

➤ **Accommodation provided in a hotel**

Perquisite value shall be **24% of salary** or **actual expenditure** incurred whichever is less.

However, Perquisite shall not be taxable if both of the following conditions are satisfied:

- a) Hotel accommodation is for a period not exceeding in aggregate **15 days**
- b) Employee has been **transferred** from one place to another

➤ **Other Accommodation**

	Particulars	Amount
Step 1	Value Of Accommodation	
	Case 1: Accommodation Is owned by Employer	
	Specified % of Salary (See Note 1)	xx
	Case 2: Accommodation Is Taken on Rent by Employer	
	Rent Paid by the ER or 10% of Salary – whichever is lower.	xx
	Case 3: Government Employees	
	License Fee determined by the Government	xx
Step 2	Add: 10% p.a. of Cost of Asset (If Asset is owned by ER)	xx
Step 3	Add: Hire Charges paid by the ER (Asset taken on rent by ER)	xx
Step 4	Less: Amount Recovered From EE	xx

Note 1

Population	% Of Salary
Exceeds 40 Lakhs	10%
Exceeds 15 Lakhs but up to 40 Lakhs	7.5%
Upto 15 Lakhs	5%

RFAC salary shall include:

- (i) Basic pay
- (ii) Dearness Allowance – Part of Retirement Benefit
- (iii) Taxable **portion** of all allowances.
- (iv) Bonus /Commission /Fees etc.
- (v) Leave salary (when the employee is in employment)

Note: Salary only for the period for which **RFAC** is provided shall be taken into consideration

Accommodation provided at two places

If any employee has been transferred and employer has provided him accommodation at the **new place** also, in such cases only one of the accommodation shall be taxable having lower perquisite



value but only for a period of 90 days (**three months**) and thereafter both of the accommodations shall be **taxable**

- Where accommodation is owned by the ER & accommodation is continued to be provided to the same EE for more than 1 PY

Perq shall be lower of following:

- a) Perq as per rules
b) $\text{Perq For First PY} \times \frac{\text{IF of Current Year}}{\text{IF Of First Year}}$

2. Interest free or concessional loans Rule 3(7)(i)

Perquisite = Sum of Monthly Outstanding balance x (SBI Rate – ER Rate) x 1/12

Exception: No perquisite shall be computed in following cases:

- a) where aggregate amount of all such loan during a particular year is **up to ₹20,000**
b) If employer has given loan for treatment of **specified disease**, there is no perquisite value

3. Free food or refreshment Rule 3(7)(iii)

- a) Free refreshments **Tea or Non-Alcoholic Beverages / Snacks** during working hours are Exempt.
b) Free meals taxable as follows:
Perquisite = (Cost of Meal – Amount Recovered).
However, perquisite **up to ₹ 50 per meal** is exempt under OLD REGIME.

4. Facility of travelling, touring, accommodation (holiday home) etc. Rule 3(7)(ii)

- a) Perquisite value shall be **actual expenditure** incurred by the employer, reduced by the amount recovered from the employee
b) If the employee is on **official tour** and any **member** of his household has accompanied him, perquisite value is amount spent on **Family Member**

- c) If **official tour** was extended for personal purpose, expenditure for the extended part of the tour shall be taxable.

5. Gifts to the employees Rule 3(7)(iv)

- a) Cash Gift = Fully Taxable
b) Kind Gift = Exempt Up to **Rs 5000 p.a.**

6. Credit card facility Rule 3(7)(v)

Perquisite Value = Amount spent for personal use of employee.

7. Club facilities Rule 3(7)(vi)

Perquisite Value = Amount spent for personal use of employee.

8. Use of employer's assets by the employees Rule 3(7)(vii)

Asset	Perquisite
Laptop / Computer	NIL
Other	10% p.a. of actual cost of such asset (or hire charges paid by ER) Less: amount recovered from EE

9. Use of employer's assets by the employees

Particulars	Amount	Asset	Dep
Cost of Asset	-	Computer & Peripherals	50 % WDV
(-) Depreciation	-	Motor Vehicle	20% WDV
(-) Amount Recovered From EE	-	Other Asset	10% SLM
Taxable Value	-		

Note: Depreciation in all cases is charged For Complete Year.

10. Amount or the aggregate of amounts of any contribution made to the account of the assessee by employer in a recognized provident fund/NPS/approved superannuation fund [Section 17(2)(vii)]



The amount or aggregate of amounts of any contribution made

- in a recognized provident fund
- in NPS referred to in section 80CCD(1)
- in an approved superannuation fund

by the employer to the account of the assessee, to the extent it exceeds ₹ 7,50,000 shall be considered as perquisites

11. Annual accretion to the balance at the credit of the recognized provident fund/NPS/approved superannuation fund which relates to the employer's contribution and included in total income

$$TP = (PC/2)*R + (PC_1 + TP_1)*R$$

Where,

TP = Taxable Perquisite

PC = Amt or agg. of amt of ER's contribution in excess of ₹ 7.5 lakh

PC₁ = Amt or agg. of amt of ER's contribution in excess of ₹ 7.5 lakh for earlier years

TP₁ = Agg. of taxable perquisite under section 17(2)(viiia) for earlier year

R = 1/ Favg.

12. Any other benefit Rule 3(7)(ix)

Perquisite = Cost to the employer – Amount Recovered

Note: If the employer has provided telephone facility including the mobile phone, it will be exempt. However, if any telephone allowance has been received, then it shall be fully taxable.

13. Medical Facility

A. In India

Expenses Incurred/ Facility Provided By ER	Treatment
In ER Hospital	Exempt
In Govt. Hospital	Exempt
In Approved hospital For Specified Disease	Exempt
Health Insurance Premium of EE & Family Member	Exempt
Any other	Taxable

B. Outside India

Expenses Incurred by ER	Treatment
Stay Abroad	Exempt up to Permitted By RBI
Treatment Abroad	Exempt up to Permitted By RBI
Travel Abroad	
a) GTI > 8L	Fully Taxable
b) GTI ≤ 8L	Fully Exempt

Note:

- Exemption is allowed for medical treatment of EE, Spouse, Children, Dependent family member (Parents, Brother & Sister)
- Exemption of stay and travel abroad is for patient and one attendant only.

14. Leave Travel Concession [Section 10(5) Rule 2B] - [Allowed Only under OLD Regime]

Journey Performed By	Maximum Exemption
Air	Economy Fare
Other Than Air	1st Class AC Fare Of Railway
Places Not connected By Rail	
a) Recognized Transport System (RTS) Exist	Deluxe or First Class Fare of RTS
b) No Recognized Transport System (RTS) Exist	1st Class AC Fare of Railways on the basis of KM Travelled

Notes:

- Ceiling on number of journeys: The exemption shall be available to an individual two times in each block of four calendar year (current block is 2023-26)
- "Family", shall include—
 - the spouse and children, however exemption shall be allowed maximum 2 children but in case of multiple birth after the birth of one child, exemption is allowed for all the children
 - wholly or mainly dependent parents, brothers and sisters



PERQUISITES ARE TAXABLE ONLY IN THE HANDS OF SPECIFIED EMPLOYEES

1. **Gardener/watchman/ sweeper or any other servant**
Perquisite = Amount Spent by ER less Amount Recovered from EE

2. **Transport Facilities**

- a) ER business is carriage of goods or passengers
b) Perquisite Shall be Fair Market Value as reduced by Amount Recovered From EE

3. **Education facility**

Nature Of Expenditure	Perquisite
Training of Employees	Not Taxable
Education to Family Member	Fully Taxable
Education to Children of Employees	
a) school maintained by the ER or the school sponsored by the ER	Cost of education IN similar locality / institution as reduced by amount recovered from EE
b) Other Schools	Cost to the Employer as reduced by amount recovered from EE

Note: If the Cost of Education per Child does not exceed ₹ 1,000 p.m. then such benefit is Not Taxable, otherwise fully taxable.

4. **Gas/Electricity or Water Facility**

Particulars	Perquisite
ER has his own business	Manufacturing cost to the employer
Sourced From Third Party	Amount Paid To Third Party

Amount recovered from EE Shall be Deducted

5. **Sweat Equity Share/ESOP**

- a) **Perquisite** = FMV on Exercise Date – Amount Paid by Employee
b) FMV should be taken on the date on which **option** is exercised by the EE.

6. **Payments Of Life Insurance Premium By The Employer**
Premium so paid shall be taxable. However, premium paid for personal accident policy or for staff group insurance scheme shall be exempt.

7. **Motor car facility**

Case 1 : Car is used Exclusively for Official Purpose			
Not a perquisite			
Case 2 : Car is Used Exclusively for Personal Purpose			
Car Owned by ER		Car Owned By EE	
Expenses Incurred By ER	-	Expenses Incurred By ER	-
(+) Driver Salary Paid by ER	-	(+) Driver Salary Paid by ER	-
(+) 10% P.a. of Cost Of Car	-	(-) Amt recovered From EE	(-)
(-) Amt recovered From EE	(-)		
Taxable Perq	-	Taxable Perq	-
Case 3: Car is used both for official and personal purpose			
➔ Car Owned By ER			
Expenses Met By	Perquisite		
Employer	Small Car- ₹1800 Pm Big Car- ₹2400 Pm	For Driver - ₹900 Pm	
Employee	Small Car- ₹600 Pm Big Car- ₹900 Pm	For Driver - ₹900 Pm	
Note: Expenses Incurred by ER & Amount recovered From EE - IGNORE			
➔ Car Owned By EE			
Expenses Incurred By ER			-
+ Driver Salary			-
(-) Deemed Official Expenses			-
Small Car – 1,800 pm; Big Car – 2,400 pm; Driver – 900 pm			-
(-) Amount Recovered From EE			-
Perquisite Value			-



Other Vehicle		
Purpose	Expenses Met By	Perquisite Value
Partly Official & Partly Personal	Employer	Expenditure By Employer - ₹ 900 P.M

Note 1: More than one motor car is provided to the employee for official/personal use –

- **Any 1 car** shall be treated as used for partly official and partly personal purpose and
- **other car(s)** shall be treated as used for personal.

Note 2: If car is used for **100% official** use then it shall not be considered as perquisite.





THANK
YOU